

The NIL Ecosystem

New Rules, New Power, New Players

USC Marshall DSO 556 | Platform Ecosystems

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Ecosystem Map: Who's Playing and What Role



Athletes (The Producers/Supply Side)

~500,000 college athletes + ~5,000 pros



Brands & Donors (The Demand Side)

Pay for access to athlete audiences and commercial IP



Universities (The Infrastructure)

Host the talent, set compliance rules, and create collectives



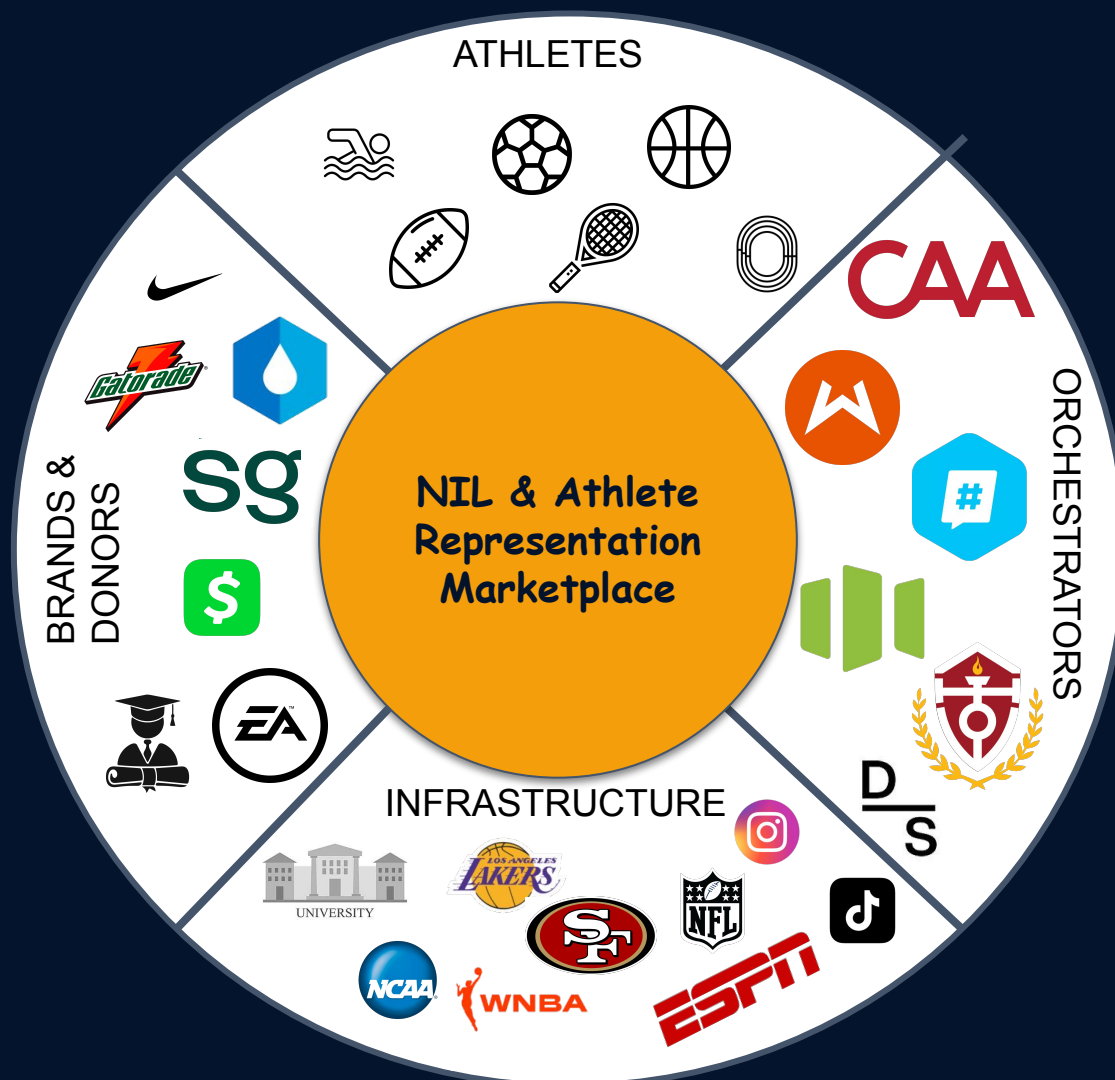
Orchestrators (The Connectors)

Incumbents (High-touch, premium tier):

- CAA Sports, Wasserman, Excel, WME

Minions (Tech Platforms & Collectives):

- Tech Startups: Opendorse, INFLCR, MOGL, NOCAP Sports
- Collectives: USC House of Victory, Oregon Div. Street



Evolution of the NIL Space



⚠ The rules changed in a weekend. The ecosystem is still catching up.

Ecosystem Health Check



Productivity

Thriving

\$1B+

in NIL deals facilitated since 2021.

Hundreds of millions in micro-sponsorships that never existed before.



Robustness

Fragile

Foundational rules are still in court.

Student-athlete employment status lawsuits loom large.

One ruling could restructure the entire market overnight.



Niche Creation

Strong

Entirely new market segment created from scratch.

College athlete micro-sponsorships bypassed traditional channels to unlock local B2B and fan-direct value.



Growing fast. Built on sand.

The Big Agencies Doubled Down on What Made Them Big

01

Acquire to Consolidate

Wasserman made 20+ acquisitions since 2020. Goldman Sachs acquired Excel for ~\$1B.

Goal: Raise switching costs by becoming a one-stop commercial operation (rep, marketing, content, analytics).

Course Concept: Reducing multi-homing at the premium tier.

02

Vertical Integration

Wasserman acquired Brillstein Entertainment Partners. This wasn't just a talent play.

Result: Athletes are treated as scalable IP, not just endorsers.

Course Concept: Network bridging (connecting athlete networks to entertainment distribution).

03

Platformization & Orchestration

CAA and Wasserman now operate across brand strategy, media rights, data analytics, and consulting.

Shift: They coordinate athletes, brands, leagues, and digital channels simultaneously. They are no longer just "agents."

Course Concept: Red Queen response (embed deeper instead of competing on matchmaking).

The Startups Didn't Try to Beat the Agencies

They Made Them Irrelevant for 90% of the Market

01 Monetize the Long Tail

Platforms like MOGL realized 50 micro-athletes at \$500 each outperforms one \$25,000 celebrity post for regional brands

The Play: "Minion" platforms target the long tail by building the infrastructure to make micro-deals economically viable

Strategic Impact: Agencies can't touch this. Avoiding high human transaction costs leverages the Long Tail Effect

02 SaaS + Algorithmic Matching

Startups like Opendorse replaced human agents with automated deal-matching and standardized digital contracts

The Play: They act as SaaS-enabled MCNs, utilizing algorithmic marketplaces to ensure automated curation

Strategic Impact: Creates a powerful Data Flywheel-more transactions lead to better pricing data and lower friction.

03 University Piggybacking

INFLCR's genius move: sell compliance software to athletic departments first, bypassing individual acquisition costs.

The Play: Athletes are onboarded automatically at the roster level. No individual sign-up required.

Strategic Impact: Solves the Cold Start problem via B2B2C strategy
- Come for the tool, stay for the network

04 Build Local Monopolies

Donor-funded collectives like USC's House of Victory created hyper-local ecosystems powered by allegiance.

The Play: Pool enough local capital to become the unskippable financial layer for a university's athletic economy.

Strategic Impact: Network Clustering creates deep social gravity, institutional lock-in, and massive switching costs.

Two Strategies, One Ecosystem

	Incumbents	Minions
Target	Top 1% of athletes	Everyone else
Model	High-touch, relationship-driven	Tech-enabled, automated
Moat	Brand, relationships, integration	Data flywheel, lock-in, local monopoly
Vulnerability	Can't scale down	Can't scale up (yet)



They're not really competing — yet. That's about to change.

Three Moves to Cement the Premium Position

01

Build the Bloomberg Terminal for Sports

Incumbents sit on years of proprietary deal data (values, ROI, performance). Package this into a premium analytics platform.

Control Point: Agencies shift from "we make deals" to "we tell you which deals are worth making."

Course Concept: Data Monetization as a defensible moat.

02

Create a College Feeder Program

Offer promising college athletes free brand advisory and deal review in exchange for right of first refusal on pro representation.

Goal: Stop letting startups surface breakout talent before you do.

Course Concept: Producer Evangelism Strategy (invest early).

03

Tokenized Fan-Athlete Investment

Build platforms where fans invest directly in an athlete's future NIL earnings for exclusive access or revenue share.

The Frontier: Early signals exist, but no major agency has scaled this entirely new model yet.

Course Concept: Rewriting the value capture model.

Three Moves Before the Incumbents Scale Down

01

Go Upstream to High Schools

Partner with high school athletic departments. Offer the platform free to athletes, sell compliance tools to the department.

Goal: One contract = an entire roster of users. When they go to college, they bring the platform with them.

Course Concept: Cold Start bypass & Seeding Strategy.

02

Monetize the Data, Not the Deal

Stop taking commissions. Start selling subscriptions based on the most valuable dataset in sports: micro-influencer ROI.

Shift: Sell analytics dashboards to athletes ("here's your market value") and brands ("here's who to bet on").

Course Concept: Lock-in via financial intelligence layer.

03

Become the Financial OS

Embed banking, tax withholding, and payment management directly into the deal flow via API partners (PayQuicker).

Result: A 19-year-old athlete who gets paid, tracks earnings, and files taxes through one platform is not switching.

Course Concept: Platform as Infrastructure (Anti-disintermediation).

Without Change, This Stagnates. Here's the Path to Thriving.

3 Existential Challenges

Platform Fatigue

Athletes managing profiles on Opendorse, MOGL, their collective, AND social media.

Fragmentation kills efficiency.

Disintermediation Risk

Once an athlete meets a brand on-platform, both parties are heavily incentivized to take the next deal off-platform to avoid fees.

Legal Fragility

Student-athlete employment status lawsuits loom large.

Could rewrite the entire economic model overnight.

The Path Forward: 2 Big Bets

Consolidation

Traditional agencies acquire the best NIL platforms—merging high-touch brand relationships with automated workflows.

Incumbents get scale. Minions get distribution. Athletes get a single system.

Standardization

Industry-wide compliance standards cement digital platforms as the permanent operating system for collegiate sports.

One set of rules = one compulsory platform layer everyone must use.

 **The ecosystem doesn't need more players. It needs fewer, smarter ones**

So What? The 3 Things to Remember

1

NIL didn't just open a new market — it exposed a structural gap that agencies were never built to fill.

2

The minions didn't win by being "better" — they won by being designed for an entirely different problem.

3

The next 3 years will determine whether this becomes a thriving two-sided marketplace or a fragmented, legally unstable mess.

Q&A

**"The rules changed in a weekend.
The question is who's building for the next one."**

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